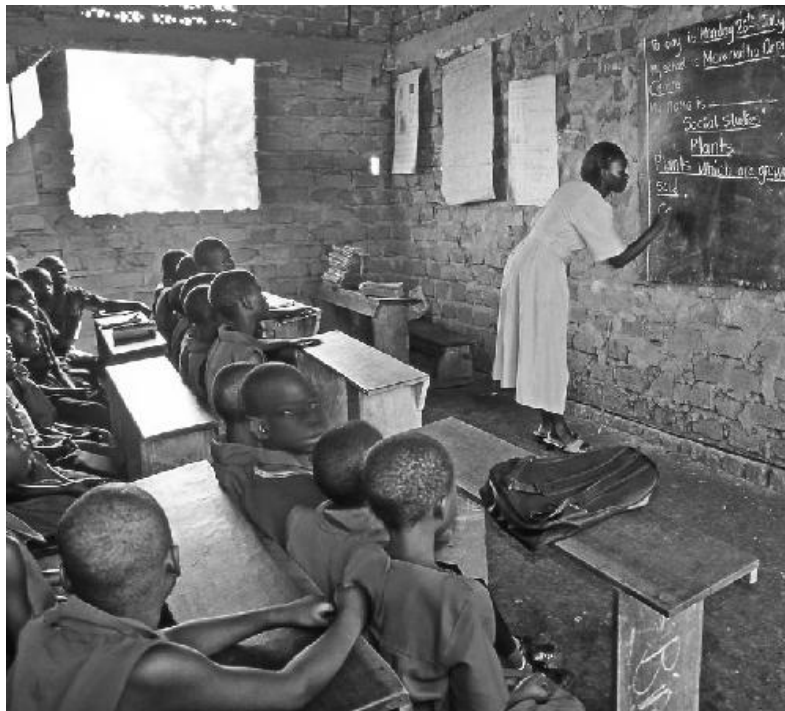


Debt relief



Debt relief is aimed at enabling poor countries to spend money on schools rather than interest payments.

During the latter decades of the 20th century, many poor nations amassed huge amounts of debt. Such debt becomes a problem when growth is insufficient to generate the resources needed to repay, and by the 1990s, with a large debt burden alongside poor economic performance, many nations were unable to meet their interest payments. Debt relief was a large-scale cancellation and rescheduling of debts in response to these countries' economic crises. Many economists argued that Western nations and international organizations that made the loans should cancel them. The debts were so large that repaying them in full would require cuts to essential investments needed for development. Cutting the debts would help these nations grow. Another case for debt relief was that many of the debt obligations were taken on by earlier corrupt or illegitimate regimes – should post-apartheid South Africa have to pay the

debts of the apartheid government? However, debt relief has not been without its critics: some say that it rewards bad policy and corruption.